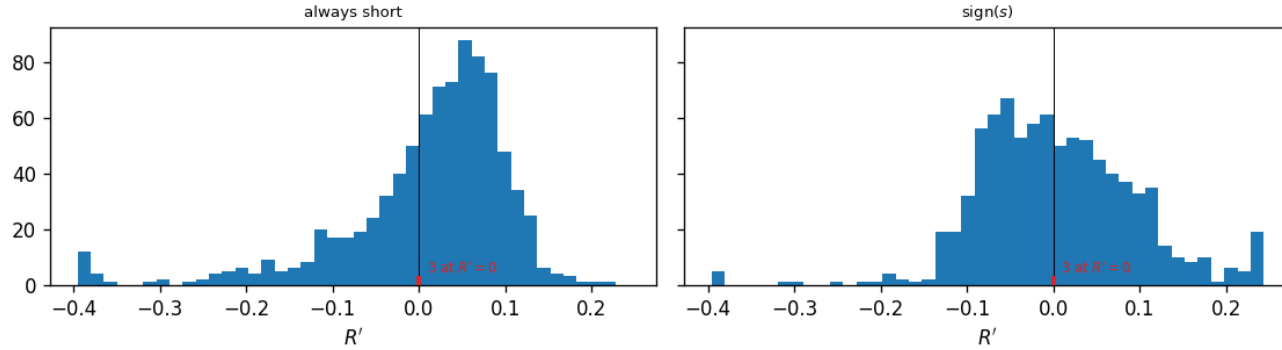


ODTE nearest-OTM package: per-rule return summary, entry 12:00 ET, one-bar hold, models compared on the same 866 days

	n	mean	std	min	max	skew	ex. kurt	t	Sharpe _{ann}	Sharpe _{ann} ^x
<i>Short volatility (always short)</i>										
all models (no forecast)	866	0.008	0.112	-1.02	0.22	-3.16	17.88	2.09	1.12	-3.42
<i>sign(s) (± 1 on the sign of s)</i>										
baseline (HAR + calendar OLS)	866	0.000	0.112	-1.02	0.54	-1.19	16.81	0.03	0.01	-4.53
block-diagonal ridge	866	0.006	0.112	-1.02	0.84	-0.46	16.98	1.45	0.78	-3.81
block-diagonal ridge, without the FOMC columns	866	0.006	0.112	-1.02	0.84	0.29	16.84	1.52	0.82	-3.78
LightGBM [†]	866	0.001	0.112	-1.02	0.54	-1.27	16.84	0.19	0.10	-4.43
XGBoost [†]	866	-0.000	0.112	-1.02	0.54	-1.25	16.79	-0.09	-0.05	-4.60
lasso (causally tuned) [†]	866	0.005	0.112	-1.02	0.84	0.27	16.84	1.44	0.77	-3.82
lasso ($\alpha = 10^{-4}$)	866	0.005	0.112	-1.02	0.84	-0.46	16.97	1.38	0.74	-3.85
elastic net (causally tuned) [†]	866	0.005	0.112	-1.02	0.84	0.23	16.83	1.30	0.70	-3.91

block-diagonal ridge, midpoint fills: entry 12:00 ET, one-bar hold; return of the position, 1st-99th percentile window (bars: the days with $R' \neq 0$)



Distribution of the return of the position taken at 12:00 ET, block-diagonal ridge forecast, one panel per rule (returns inside their 1st–99th percentile window).

One trade a day: enter the nearest-OTM package at 12:00 ET and exit thirty minutes later at the next stamp, in the same two strikes. 866 expiration days, 2020-01-03 to 2024-04-30 (the deck’s frame). Fills are at the quoted midpoint everywhere except the last column, which is the same rule filled at the crossed spread: entry at the touch (the ask when long, the bid when short) and exit at the touch of the next stamp; the 15:30 leg cash-settles and pays no exit spread, and a re-pick that lands on the same two strikes with the same sign is a hold, not a round trip, so it is not charged. One expiration day = one return; mid fill. Every t here is the plain $t = \sqrt{n} \cdot \text{mean}/\text{std}$, with no autocorrelation correction.

“ex. kurt” is the bias-corrected sample excess kurtosis (Gaussian = 0). The short-volatility rule takes no forecast, so it is one row for all models. $\text{Sharpe}_{\text{ann}} = (\text{mean}/\text{std}) \times \sqrt{252}$; every other column is daily. The one column this table adds to the deck’s is $\text{Sharpe}_{\text{ann}}^x$, the same rule’s annualized Sharpe at the *crossed spread* instead of the midpoint; every other column is the deck’s.

Forecasts: baseline (HAR + calendar OLS); block-diagonal ridge (HAR block and exogenous block, separate penalties) on the design carrying the FOMC calendar block, and the same ridge on the earlier design without those columns, as a diagnostic row; LightGBM and XGBoost on the all-features design; lasso on the same design, causally tuned vs. fixed $\alpha = 10^{-4}$; elastic net (causally tuned). [†] marks a column still fitted on the earlier design panel; a run of those four on the panel of record is pending. The signal is $s_t = \widehat{RV}_t - IV_{\text{hr}}^2 h_t w_t$: the forecast against the implied variance of the same window. On the bars whose vendor implied volatility is a censored solver node the deck’s treatment is used here too — the volatility that reproduces the package midpoint, recovered by bisection over the remaining h_t hours — so every bar carries a signal and no bar sits flat.